

I have an agreement with my oldest son. He is required to pay X amount of dollars each year, ... and Billy will eventually own the business outright.

Several of the more senior respondents questioned this plan, since it clearly has the potential to create conflicts among Mr. Andrews's children. Mr. Andrews's business is in the service/distribution industry; it does not have a great deal of value unless it continues to operate under the Andrews affiliation. In other words, unless Billy Andrews keeps the business operating, there will be no business at all. Asked one respondent:

Would the business have significant value if you placed it for sale today?

Mr. Andrews admitted that it would not. Then why is he requiring his oldest son and key employee to purchase the business? Why not give it to him? Remember, Mr. Andrews gives all of the profits of the business to his daughters. He also plans to give them the revenue he receives from the sale of the business—the money his son Billy pays for the business. Moreover, Mr. Andrews's daughters already receive sizable cash gifts from their father. But not Billy. Billy, in his father's estimation, needs no subsidies. He is extremely productive in generating income. He could always "carry a great deal on his shoulders." Mr. Andrews feels that his daughters, on the other hand, do not have the ability to maintain an upper-middle-class lifestyle by themselves. But what about his high-income-producing sons-in-law?

In Mr. Andrews's mind, his sons-in-law will never generate an income high enough to support "the girls'" high-consumption habits. Also, he told us:

You can never fully trust your sons-in-law.... Divorce is always a possibility.

What about future outpatient care for his daughters? Billy, Mr. Andrews's surrogate, will provide the solution to this problem. Mr.